A COLOMBIAN CITY GUIDES BRIEFING

Do You Actually Need a Company?

A Straight Answer for Remote Contractors Weighing a Panama Entity

Some contractors incorporate the moment they earn any foreign income at all, and pay for complexity they don't need yet. Others avoid a company indefinitely even once the work has genuinely outgrown personal invoicing. This guide walks through how to tell which camp you're actually in.

Contents

General information only, not legal, tax, or financial advice. See the closing note.

SECTION 01

The Question That Trips People Up

This is the question that trips people up in both directions. Some incorporate reflexively, the moment they start earning any foreign income at all, and end up paying for a level of complexity they do not need yet. Others avoid a company indefinitely, even once the work has genuinely outgrown personal invoicing, because incorporation sounds intimidating or expensive before anyone actually explains what it costs.

The honest answer depends on what you are actually doing, not on what sounds more professional on a call with a new client. If you have one or two long-term clients, straightforward monthly invoicing, and no near-term plan to hire anyone or bring on a business partner, a foreign entity is very often unnecessary complexity: an annual filing obligation, a registered agent fee, banking maintenance, and a second set of books to keep straight, for a benefit that may not exist in your case. Plenty of remote contractors are genuinely better off invoicing as an individual with a good accountant, in whichever country actually taxes them, and revisiting the question later if their business grows into it.

The picture changes once the work starts to look more like a business than a single income stream: several clients under contract, possibly a first hire, real invoicing volume, or the early shape of something you would want to sell or hand off someday. At that point a proper entity starts earning its keep. It separates personal assets from business liabilities, gives banks and larger clients something more credible to work with than a personal checking account, and puts the whole operation on a real compliance footing instead of an informal one that quietly accumulates risk the longer it goes unaddressed.

SECTION 02

What a Panama S.A. Actually Is

For people who do have a genuine case for an entity, Panama's Sociedad Anónima, or S.A., is one of the more established corporate vehicles in the region: a standard corporate structure with shareholders, directors, and officers, formed under Panamanian corporate law, that can hold a bank account, sign contracts, and invoice clients in its own name. Combined with Panama's territorial tax system, where the company generally is not taxed on income earned from clients or activity outside Panama, it is a common choice for contractors and small operators who genuinely need an entity and want it in a jurisdiction with a US-dollarized economy and an established banking sector.

Whatever the reason for incorporating, the structure only holds up if it is built on one non-negotiable principle: full disclosure. Beneficial ownership registered with the relevant authority. Filings made on time. Income declared everywhere the law actually requires it.

> *A properly structured Panamanian entity, run by licensed professionals with full disclosure, is not a way to hide money. It is the opposite: a legitimate corporate home for legitimate income.*

Substance matters here too. Tax authorities, banks, and counterparties now look through paper-only structures routinely, an address, a nominee director, no real activity is not durable. Directors who actually direct, operations that actually happen, and records that actually exist are what let a structure hold up under scrutiny rather than collapse the first time someone looks closely.

SECTION 03

Banking Is Where Plans Come Apart

Banking deserves its own mention, because it is where a lot of otherwise well-structured plans quietly come apart. A bank in a real financial centre, one dealing with genuine trade volume rather than brass-plate shell activity, wants exactly three things from a client: proof of who you are, a clear account of where a specific sum of money came from, and a coherent story of how you built what you have overall, sometimes called know-your-customer, source of funds, and source of wealth documentation.

None of that is about finding an institution that asks fewer questions. That instinct runs backwards, and it is exactly how people end up locked out of the accounts they actually need, usually at the moment they need them most. The goal is to become the kind of client a well-rated bank wants to keep: organized, documented, transparent about ownership from the first meeting.

A quick self-check

- ☐ Do you have more than one or two clients, or a first hire on the horizon?
- ☐ Would a bank or a larger client be more comfortable invoicing an entity than a personal account?
- ☐ Are you willing to carry an annual filing and bookkeeping calendar for the benefit an entity provides?
- ☐ Has a licensed professional, not a forum thread, ever actually looked at your specific situation?

Two or more "yes" answers is a reasonable signal that incorporating is worth a real conversation rather than a guess.

SECTION 04

Getting This Looked At Properly

Everything in this guide is general information, meant to help you recognize the moments that actually matter. It is not legal, tax, or financial advice, and nothing here should be read as a recommendation for your specific situation. Rules, thresholds, and program terms mentioned here can and do change, and the right answer for you depends on facts this guide has no way of knowing.

If enough of this sounded familiar, working out whether an entity actually fits your situation, and getting it built with real substance rather than a template, means bringing in licensed local partners who work from the same facts.

A note on referrals. If we ever point you toward a specific firm for this kind of work, we will disclose that relationship in writing before making the introduction, including whether we are compensated for it. It never changes what you pay or the advice you get.

The fastest way to get an actual answer, not another article, is to talk to Catalina. Tell her roughly what's going on, no cost, no obligation, no names or specifics required to start, and she'll book a short call directly onto Mike's calendar herself. From there he'll introduce you to the vetted local partner who's the right fit, including telling you honestly when nothing here applies to your situation.

Talk to Catalina →

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